

Payments Vision 2028



**Department of Payment and Settlement Systems
Reserve Bank of India
Central Office**

Up to December 31, 2028

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Preface

India's payments ecosystem has evolved through a calibrated yet adaptive process, guided by successive Payments Vision documents issued by the Reserve Bank of India (RBI) since 2001. Each Vision Document provided direction in tune with the current stage of evolution of the payments landscape while keeping in mind the potential for further development. By focusing on establishment of core settlement infrastructure, strengthening of institutional framework, expansion of digital inclusion, and enabling of innovation at scale, successive Vision Documents have paved the way for India's emergence as a global leader in digital and real-time payments, while staying true to core values like, 'Customer-centricity', 'Safety-by-design' and 'Interoperability'.

Payments Vision 2028 recognises that digital payments continue to make inroads into all population segments (a fact objectively captured through RBI's Digital Payments Index), and the challenge before the ecosystem is no longer one of expansion of reach alone, but of deepening 'trust' in payment systems, reinforcing resilience and expanding their global footprint. Anchored in the theme, '*Shaping India's Payment Frontier*', this Vision document focuses on user empowerment, safeguards against fraud, efficiency of cross-border payment frameworks and promoting ease of doing business. Regulations and supervision of payments systems, while continuing to be risk-based, would be guided by the need for innovation and inclusion.

The Payments Vision looks to guide the ecosystem towards an AI-led, data-driven approach to payments. For RBI itself, data, research, and institutional capacity are recognised as strategic assets for informed decision-making. Strengthening analytical capabilities and deepening domestic and international collaboration are recognised as integral to ensuring future readiness.

Through its various initiatives, the Vision Document charts a course of action up to December 2028, while retaining the flexibility to respond to technological changes, emerging risks, and evolving user needs. This reflects Reserve Bank's continued

commitment to responsive and forward-looking stewardship of the payments' ecosystem. Needless to add, apart from the items listed in the Vision, any other initiative deemed important for the continued growth and development of digital payments in the country would also be pursued.

Payments Vision 2028 has been framed through a consultative process. Its realisation, too, would rest on sustained and constructive collaboration among all stakeholders – banks, non-bank payment system operators, fintechs, and customers. Guided by a sense of shared responsibility and public interest, the Vision would ensure that our payment systems remain resilient, inclusive, innovative, and globally admired in the years ahead.

1. Payments Vision documents over the years

1.1 RBI has been making continued efforts to enhance the efficiency, security, and accessibility of payment systems, fostering a more inclusive and resilient digital payments ecosystem. As a result of this endeavour, India has solidified its position as the global leader in real-time digital payments by processing nearly 50 percent of all global real-time payments. The role of RBI has evolved further from not only being a regulator of the payments sector but also as a catalyst to enable innovation in payments.

1.2 Since 2001, RBI has articulated Payments Vision documents that have guided the transformation of India's payment and settlement ecosystem. Each such document has sought to leverage upon the technological maturity of its time to optimally address the evolving needs of the payments ecosystem, from foundational reforms to global interoperability. Key focus areas and outcomes in the journey from the first vision (2001–2004) onwards are highlighted as follows:

i. Foundational Phase (Payments Vision 2001-2004)

The document laid the foundation for a modern, technology-driven payment infrastructure. At the time, India's payments were dominated by paper instruments, primarily cheques. The document emphasised consolidation, efficiency, and security, aiming to shift towards electronic modes and centralised settlements. Key milestones included the launch of the Real-Time Gross Settlement (RTGS) system in 2004, the expansion of Electronic Clearing Services (ECS), and the early development of the Cheque Truncation System (CTS).

ii. Institutional and Regulatory Phase (Payments Vision 2005-2008)

The [2005-2008 Vision](#) document focused on building the institutional and legal infrastructure to support a rapidly evolving payment ecosystem. It led to the creation of the Department of Payment and Settlement Systems (DPSS) within the RBI in 2005, thereby providing a dedicated regulatory and developmental focus. The landmark

Payment and Settlement Systems Act, 2007, and the PSS Regulations, 2008, granted statutory authority to the RBI to regulate and supervise all payment systems. This document also envisaged an umbrella organisation for retail payments, leading to the establishment of the National Payments Corporation of India (NPCI) in 2008.

iii. Oversight and Expansion Phase (Payments Vision 2009-2012)

[Payments Vision Document 2009-2012](#) pivoted towards operational efficiency, safety, and inclusion. It underscored the need for systems that are safe, secure, efficient, authorised, and accessible, aligning domestic oversight with international standards. During this phase, NEFT and RTGS systems were expanded, electronic transactions gained traction, and the RBI enhanced its supervisory role over Financial Market Infrastructures (FMIs).

iv. Inclusion and Standardisation Phase (Payments Vision 2012-2015)

The [Payments Vision 2012-2015](#) introduced the explicit goal of achieving a *less-cash society*, emphasising interoperability, inclusion, and consumer protection. Notable outcomes included the licensing and expansion of Prepaid Payment Instruments (PPIs), groundwork for the Trade Receivables Discounting System (TReDS), Bharat Bill Payment System (BBPS), and acceleration of Aadhaar Enabled Payment Systems (AePS).

v. Digital Transformation Phase (Payments Vision 2016-2018)

[Payments Vision 2018](#) (covering 2016-2018) coincided with India's digital payments take-off. Its focus was to encourage electronic payments across all sections of society while maintaining safety and resilience. The period witnessed the launch of transformative platforms such as Unified Payments Interface (UPI), under NPCI's stewardship.

vi. Measurable Outcome Phase (Payments Vision 2019-2021)

The [Payments Vision 2019-2021](#) introduced a results-oriented framework under the theme "Empowering Exceptional (E)-payment Experience". It articulated five core

attributes - safety, security, convenience, speed, and affordability and established quantitative targets, including a fourfold increase in digital transactions by 2021.

vii. Globalisation and Trust Phase (Payments Vision 2025)

The [Payments Vision 2025](#), launched in 2022, reflected a confident, globally integrated digital payments ecosystem. Anchored on the theme “E-Payments for Everyone, Everywhere, Every time (4Es)”, it rested on five goalposts - Integrity, Inclusion, Innovation, Institutionalisation, and Internationalisation. The alternative authentication framework, Master Direction on Payment Aggregators, near real-time Cheque Truncation System, etc., were the key outcomes.

1.3 RBI’s Payments Vision documents released over the years thus chronicle a transformative journey from infrastructure building to institutionalisation. Each vision drove and, in turn, evolved with ecosystem-level adjustments. This dynamic and adaptive evolution has made India’s payment systems among the most advanced, inclusive, and resilient in the world while setting the stage for Vision Document 2028 – one that consolidates the gains even as it aims to help the Indian payments space leapfrog into the future.

2. Payments Vision 2028

2.1 Payments Vision 2028 builds upon the remarkable trajectory of digital payments in India with the core theme – ‘***Shaping India’s Payment Frontier***’. It underscores the dual imperative of consolidating and strengthening the existing systems / infrastructure, while pioneering the future of payments.

2.2 Under the core theme, certain specific initiatives as outlined below have been identified focusing on operational excellence, strategic innovation, and ensuring that the payment infrastructure remains resilient, inclusive, user-friendly, and technologically advanced.

a. To promote **inclusivity and resilience**, a framework for interoperability in TReDS is also proposed to be developed to promote an integrated, efficient, and accessible receivables discounting ecosystem.

b. To enhance **safety** in digital payments, enabling or disabling transactions across digital payment modes via issuer channels shall be explored. A shared responsibility framework with both the customer’s bank (issuer) and the beneficiary’s bank jointly bearing the liability shall be pursued. A review of the design and security features of cheques shall be conducted. Introduction of a Cyber Key Risk Indicators (KRI) framework for non-bank Payment System Operators shall be implemented for enhancing cyber resilience.

c. Regarding **cross-border payments**, a review of the cross-border payments framework shall be conducted to enhance efficiency, and which shall be complemented by publishing dedicated reports on specific aspects.

d. For promoting **ease of doing business and convenience**, the regulatory process for cross-border payment authorisation under the PSS Act, 2007 and FEMA, 1999 shall be streamlined along with examining the case for recognising Small Payment System Providers under a perpetual regulatory sandbox structure. Providing flexibility to customers to switch among payment service providers seamlessly through implementation of a Payments Switching Service (PaSS) shall be examined.

e. To provide a **fillip to research** pertaining to digital payments, dedicated research and training capacity shall be focused upon apart from providing enhanced access to domestic and cross-border payments data.

f. To promote **systemic stability and integrity**, entities deemed to be playing a critical role in facilitating digital payments shall be brought within the regulatory fold. Introduction of a uniform Domestic Legal Entity Identifier (DLEI) shall be explored.

g. **Innovation** in card payments space shall be encouraged. Introduction of electronic cheques shall be explored.

2.3 The current Payments Vision document sets the course up to December 2028. It may be noted that while the document provides strategic direction, initiatives not included therein may also be taken up based on evolving needs and opportunities.

3. Specific Initiatives

3.1 Facility for the remitter to enable / disable transactions on any digital payment mode through issuer channels

Switch on and switch off facility for domestic and international card transactions is available to customers which has helped customers exercise greater control over their cards. Introduction of a similar facility for all digital payment modes shall be explored. This facility would help bolster consumer confidence and contribute towards controlling frauds in digital payment transactions.

3.2 Reports on Cross-Border Payments: Domestic trends, global developments, and strategic implications for India's payment ecosystem

RBI shall publish Reports on Cross-Border Payments to present a comprehensive analysis of cross-border payments in India covering key metrics such as volumes, transaction costs, transparency, speed of transactions, performance of various channels and corridors, etc. The reports shall track global developments related to legal, regulatory, technological, and process advancements in cross-border payments. Benchmarking India's progress against global trends, the reports shall also identify areas for improvement and evaluate the implications of international developments on the domestic payment system.

3.3 Review of cross-border payments ecosystem with an objective to increase efficiency of cross-border payments

Cross-border payments are vital for India for international trade and remittances. Efficient cross-border payment systems support Indian exporters and importers especially from MSME sector to access global markets enhancing their competitiveness. Similarly,

efficient payment arrangements are critical for reducing the cost of remittance. Cross-border payments are inherently complex as they involve multiple participants, hops, time zones, jurisdictions, and regulations. The global agenda, shaped by the G20, also aims to make these payments faster, cheaper, more transparent, and accessible. RBI is actively improving the cross-border payments ecosystem through regulatory liberalisation and technological initiatives. While liberalisation of the regulations governing cross-border transactions has facilitated efficiency, there is scope for further streamlining and liberalisation of the regulations. In view of this, RBI shall envision a cross-border payments framework that is efficient, transparent, resilient, and accessible to a broader range of participants. In pursuit of this, RBI shall undertake a comprehensive review of the existing cross-border payments ecosystem to identify frictions from regulatory, operational, and technological perspective. The review would seek to strengthen India's cross-border payment landscape, foster innovation, competition, align India with global best practices and technology while accommodating national requirements.

3.4 Streamline cross-border payment authorisation under PSS Act, 2007 and FEMA, 1999

In order to facilitate end-to-end cross-border transfer of funds, entities need to seek authorisation under the Payment and Settlement Systems Act, 2007 and an authorised person license under Foreign Exchange Management Act, 1999. Given the potential to gain efficiencies in cross-border payments, introducing a single-window application process shall be examined. This would enhance the ease of doing business for entities in India's cross-border payments ecosystem, as also promote newer use-cases and innovation in cross-border payments.

3.5 Limiting liability of customers – Shared Responsibility Framework

The existing Limiting Liability Framework for safeguarding customers from payment frauds places responsibility and liability exclusively on the issuer. To ensure balanced accountability, introducing a shared responsibility framework would be explored under which both the customer's bank (issuer) and the beneficiary's bank jointly bear the liability arising from unauthorised digital payment transactions. This approach would incentivise both parties to implement robust fraud detection and prevention measures, and strengthen coordination for timely intervention, thereby enhancing overall consumer protection and trust in digital payments.

3.6 Recognise Small Payment System Providers – Perpetual Regulatory Sandbox

Payments' space being highly dynamic, there is a need to permit innovative solutions to be introduced without directly regulating them from the start, and to consider bringing them within the regulatory fold only if, and when, they reach a specified level of activity, when the activities are deemed to be significant or critical. Thus, the case for recognising a new class of Small Payment System Providers (SPSPs) that would not require to be authorised by RBI before carrying out their activities shall be explored. The aim is to gradually shift toward a tailored regulatory oversight mechanism calibrated to the risk profile of entities based on the nature of activities handled by them. This shall promote ease of doing business while ensuring systemic stability.

3.7 Develop Payments Research and Training Capacity

As the global payments landscape rapidly evolves with new and emerging technologies, there is a need to augment research and training capacity covering various aspects of digital payments such as policy making, risk management, fraud prevention, cross border

payments, cyber security, etc. In addition, development of linkages with various central banks, international standard setting bodies, other countries especially from the Global South, as well as with domestic payments ecosystem shall be explored to facilitate knowledge sharing.

3.8 Framework for interoperability and innovation in TReDS

Over the years, TReDS has evolved as a critical platform to address liquidity challenges and unlock growth opportunities for MSMEs. There is considerable potential to further enhance operational efficiency through targeted improvements. In this regard, the case for introducing the following shall be explored with the aim of creating a more integrated, efficient, and accessible receivables discounting ecosystem for the MSMEs:

- i. full interoperability across TReDS platforms to harness efficiencies, competitive spirits, and avoid duplication of efforts;
- ii. factoring with recourse; and
- iii. trade receivables discounting of export MSMEs.

3.9 Cyber Key Risk Indicators (KRI) framework for non-bank Payment System Operators (PSOs)

With the objective of implementing a consistent, data-driven approach to risk-based IT supervision of payment system operators, a Cyber Key Risk Indicators (KRI) framework for non-bank Payment System Operators (PSOs) shall be developed and implemented. This framework shall assess and monitor robustness in cyber security of such entities on a continuous basis. It shall enable RBI to systematically identify and monitor key risk indicators across the industry, compare the cyber resilience of different entities, track their security posture over time as also provide early warning signals to identify and monitor potential IT and cyber risks.

3.10 Review of design and security features of cheques and explore introduction of electronic cheques

Building on the existing CTS-2010 standards (which were introduced in 2010), banks have independently implemented additional security features, leading to variations across the system. A comprehensive review of the design and security features of cheques shall be undertaken to enhance uniformity, strengthen fraud prevention, and ensure alignment with emerging processes. The review shall identify and adopt best practices, making them applicable across all cheque instruments.

Further, cheques as a payment instrument offer some unique benefits over other payment methods. To leverage the unique benefits of paper-based instruments and the speed and reliability of electronic payments, and cater to new business use cases, introduction of electronic cheques in India shall be explored.

3.11 Facilitate enhanced access to payments data

India's digital payments ecosystem has achieved significant growth in recent years. Consequently, the number of payment systems, use-cases of the payment systems, and complexity in the payments data has also increased significantly. Creation of a rich, user-friendly database, and enabling it to be queried through Artificial Intelligence (AI) based channels shall be explored. This shall also serve as a single point of access for cross-border payments data which shall provide a unified and dynamic view of India's cross-border payments ecosystem. The initiative is envisaged to enhance transparency, enable monitoring of efficiency outcomes, and aid in data driven innovation.

3.12 Reimagine card payments in India

To foster competition, spur innovation, and strengthen resilience, building an open and interoperable card ecosystem shall be explored. The initiative is envisaged to empower cardholders and merchants with choice, introduce secure and smart tokenisation and orchestration, and facilitate transparent pricing that advances customer protection.

3.13 Payments Switching Service (PaSS)

Customers face challenges in managing their payment instructions in case their account number changes due to shifting to another bank, merger of banks, etc. To address this, feasibility of implementing a 'Payments Switching Service' shall be explored. It is envisaged as a centralised service that would facilitate migration of payment instructions, both incoming and outgoing, from one account to another, thereby enabling customers to change their bank accounts with minimal friction. Using this functionality, customers shall be able to view all payment flows linked to their accounts and initiate either a full or partial switch with appropriate authorisation.

The objective is to provide customers with centralised control over their payment instructions, facilitate orderly transitions during systemic changes like bank mergers, and foster healthy competition and service excellence among financial institutions, thereby enhancing customer experience.

3.14 Bringing entities playing critical role in payments ecosystem within the regulatory ambit

Rapid developments in payments space have led to several entities playing a critical role in facilitating digital payments. In addition, e-commerce marketplaces and centralised platforms have been assuming significant responsibilities that could have implications on

orderly functioning of payments ecosystem. These aspects shall be examined in detail and, if required, the scope of direct regulations shall be extended to cover such entities. On similar lines, the case for introducing white label solutions in Aadhaar Enabled Payment System (AePS) and bringing such assisted payment providers within the regulatory fold would be explored.

3.15 Implementing a uniform Domestic Legal Entity Identifier (DLEI)

A unique identifier for non-individuals that would enable identification of parties to a transaction is crucial for managing risks in the financial system. In this regard, the feasibility of implementing a uniform Domestic Legal Entity Identifier (DLEI) shall be studied. Currently, there exist myriad identifiers in India, each with its own specific purpose and features. The DLEI, if found feasible, could be new or selected from the existing identifiers.

Acronyms

AePS	Aadhaar Enabled Payment System
CTS	Cheque Truncation System
ECS	Electronic Clearing Services
KRI	Key Risk Indicators
LEI	Legal Entity Identifier
MSME	Micro, Small and Medium Enterprises
NEFT	National Electronic Funds Transfer
PaSS	Payments Switching Service
PPI	Prepaid Payment Instrument
PSO	Payment System Operator
RTGS	Real Time Gross Settlement
TReDS	Trade Receivables Discounting System